

PERFORMANCE & PROMOTION POLICY

Appraisals | KPIs | Performance Reviews | Career Progression

Policy Version	1.0
Effective Date	January 1, 2025
Policy Owner	Human Resources Department
Applies To	All Permanent & Confirmed Employees
Review Cycle	Annually

1. Purpose, Philosophy, and Scope

1.1 Purpose of This Policy

This Performance and Promotion Policy establishes a comprehensive, transparent, and equitable framework through which the organization measures employee performance, rewards excellence, supports development, and makes informed decisions about career advancement and compensation. The policy is designed to ensure that every employee understands what is expected of them, how their work will be evaluated, and what pathways exist for growth within the organization.

Performance management is not an annual administrative exercise — it is a continuous dialogue between employees and their managers that drives individual achievement, team effectiveness, and organizational success. When done well, performance management motivates employees, identifies future leaders, addresses underperformance constructively, and aligns individual goals with organizational strategy.

1.2 Our Performance Philosophy

The organization's approach to performance is grounded in the following core beliefs:

- 1. **Clarity:** Every employee deserves to know exactly what they are being evaluated on, before the evaluation period begins — not after.
- 2. **Fairness:** Performance evaluations must be objective, consistent, and free from bias. Where possible, decisions must be supported by measurable data and documented evidence.
- 3. **Continuous Development:** Performance management exists not just to identify and reward high performers, but to develop every employee. Constructive feedback is a gift, not a threat.
- 4. **Transparency:** Promotion and compensation decisions must be made on clear, published criteria. Employees who are passed over for promotion must receive an honest explanation and a development plan.
- 5. **Meritocracy:** Advancement must be based on demonstrated performance, competencies, and organizational fit — not on seniority, personal relationships, or informal favouritism.

1.3 Scope and Eligibility

This policy applies to all permanent employees who have successfully completed their probationary period. The following groups are included with specific modifications:

Employee Group	Applicability
Confirmed Permanent Employees	Fully subject to all provisions of this policy including annual appraisal, KPI setting, and promotion eligibility

Employee Group	Applicability
Employees on Probation	Subject to a separate Probationary Assessment process. Not eligible for promotion until probation is confirmed.
Contract / Fixed-Term Employees	Subject to performance reviews at the midpoint and end of their contract. Not eligible for internal promotion but may apply for open permanent positions.
Interns and Trainees	Subject to a simplified Internship Performance Assessment. Completion of internship does not guarantee a permanent offer.
Part-Time Employees	Subject to the same performance framework, with KPIs and targets proportionally adjusted to reflect their working hours.

2. The Performance Review Cycle

2.1 Overview of the Annual Performance Cycle

The organization follows a structured annual performance cycle that is divided into distinct phases, each with specific activities and responsibilities. Understanding this cycle helps employees and managers engage meaningfully with the process at each stage.

Phase	Timing	Key Activities
Goal Setting & KPI Alignment	January (Beginning of Year)	Manager and employee collaboratively set SMART goals and KPIs aligned with team and organizational objectives for the year ahead.
Mid-Year Check-In	June / July (Mid-Year)	Formal mid-point conversation between employee and manager. Progress against goals reviewed. Goals may be revised if business priorities have changed. Concerns identified early.
Continuous Feedback	Year-Round (Monthly / Quarterly)	Regular 1:1 meetings, ongoing feedback conversations, and informal coaching. Not a formal rating, but documented in HRIS.
Year-End Self-Assessment	November	Employee completes a structured self-assessment reflecting on goal achievement, competency demonstration, and key contributions. Submitted via HRIS before manager's review.
Manager Assessment & Rating	December (First Two Weeks)	Manager completes formal performance assessment, assigns performance ratings, and calibrates with HR and peer managers.
Performance Review Meeting	December (Last Two Weeks)	Formal face-to-face review meeting between manager and employee. Rating communicated. Feedback discussed. Development plan initiated.
Moderation & Calibration	December / January	HR facilitates calibration sessions across departments to ensure rating consistency and eliminate systematic bias.
Outcomes: Pay / Promotion / PIP	January (Following Year)	Compensation adjustments, promotion decisions, and performance improvement plans communicated and implemented.

2.2 Mid-Year Check-In — Detailed Guidance

The mid-year check-in is a mandatory touchpoint that serves several important purposes. It is not optional, and failure to conduct it reflects negatively on the manager in their own performance assessment.

During the mid-year check-in, managers and employees should discuss:

- Progress against each KPI and goal set at the beginning of the year
- Any obstacles or challenges that have impacted the employee's ability to achieve goals
- Whether original goals remain relevant, or need to be updated due to business changes
- The employee's own sense of their performance, challenges, and development needs
- Recognition for achievements and contributions made in the first half of the year
- Any areas where course correction or additional support is needed

**REAL-
WORLD
EXAMPLE**

A sales executive had a target to close 20 new accounts by year-end. By June, they had closed only 7. Rather than waiting until December, the mid-year review prompted a conversation revealing the employee was spending 60% of their time on existing account servicing due to understaffing. The manager reallocated support resources, adjusted the target to 15 accounts, and the employee finished the year at 14 — a strong performance given the circumstances. Without the mid-year check-in, the employee would have received an unfairly low rating.

2.3 Continuous Feedback — 1:1 Meetings

All managers must hold structured 1:1 meetings with each direct report on at least a monthly basis. These meetings are the backbone of continuous performance management and should not be confused with general project update calls. Effective 1:1s:

- Are led primarily by the employee — this is their time to raise concerns, share updates, and seek guidance
- Include a dedicated discussion of the employee's progress, wellbeing, and development
- Document key discussion points and action items in the HRIS or an agreed shared document
- Follow up on action items from the previous 1:1
- Provide an opportunity for both positive recognition and constructive challenge

3. Performance Rating System

3.1 The Five-Point Rating Scale

The organization uses a five-point performance rating scale to evaluate employee performance at the end of each year. This scale is designed to distinguish between different levels of performance in a meaningful and actionable way. The scale is applied uniformly across all departments and levels.

Rating	Label	Description	Typical Outcomes	% of Workforce (Target)
5	Outstanding	Consistently exceeds all goals and KPIs. Demonstrates exceptional competencies. Role model for peers. Significant above-and-beyond contributions.	Top salary increment, strong promotion consideration, fast-track development programmes	~10%
4	Exceeds Expectations	Regularly exceeds most goals and KPIs. Strong competency demonstration. Positive impact beyond immediate role.	Above-average salary increment, eligible for promotion review	~20%
3	Meets Expectations	Meets most or all goals and KPIs. Competent and reliable. Solid contributor to team objectives.	Standard salary increment, development plan to grow toward the next level	~50%
2	Partially Meets Expectations	Meets some goals but falls short in others. Areas of concern identified. Improvement required.	Minimal or no salary increment, structured development plan, close monitoring in next period	~15%
1	Does Not Meet Expectations	Consistently falls short of goals and KPIs. Significant performance concerns. Action plan required.	No salary increment, mandatory Performance Improvement Plan (PIP), potential disciplinary action if unresolved	~5%

3.2 Rating Calibration and Distribution

To ensure fairness and consistency across the organization, all manager ratings are subject to a calibration process facilitated by HR. Calibration sessions bring together department heads, HR business partners, and senior managers to review the distribution of ratings across teams and discuss borderline cases.

The target distribution above is a guide, not a rigid quota. The purpose of the distribution guideline is to prevent rating inflation (where all employees receive 4s and 5s regardless of actual performance) and rating deflation (where strong performance is systematically underrated). A manager who gives every direct report a rating of 4 or 5 will be asked to justify each rating in calibration.

REAL-
WORLD
EXAMPLE

In a technology company's calibration session, a manager had rated all 8 of their reports as 4 (Exceeds Expectations). HR pointed out that 3 of those employees had missed critical project deadlines and one had received a client complaint during the year. After discussion, 2 ratings were revised to 3, and one was revised to 2. Calibration protects both the organization's integrity and the credibility of the rating system.

3.3 Forced Ranking vs. Holistic Assessment

The organization does not use a 'stack ranking' or 'forced ranking' approach where employees must be ranked relative to one another and a fixed percentage must receive the lowest rating. Instead, each employee is assessed holistically against their individual goals, competencies, and contribution. However, calibration sessions do ensure that exceptionally high ratings are justified and that the distribution does not deviate significantly from organizational norms without cause.

4. Key Performance Indicator (KPI) Framework

4.1 What Are KPIs?

Key Performance Indicators (KPIs) are quantifiable, measurable targets that define the expected output and outcomes of an employee's role during a specific performance period. KPIs translate high-level organizational strategy into individual, actionable goals. They provide a shared language of performance between an employee and their manager.

Effective KPIs prevent the most common frustration employees have with performance reviews: 'I didn't know I would be judged on that.' When KPIs are set correctly at the beginning of the year and agreed upon by both manager and employee, the year-end review should contain no surprises.

4.2 The SMART Framework for KPI Setting

All KPIs must be developed using the SMART framework to ensure they are meaningful, measurable, and achievable:

SMART Element	Definition and Guidance
S — Specific	The KPI must clearly define what is to be achieved, by whom, and in what context. Vague goals like 'improve customer satisfaction' are not acceptable. Specific: 'Increase Net Promoter Score (NPS) for the Customer Success team from 42 to 55 by December 31.'
M — Measurable	The KPI must have a clear numeric or observable measure of success. Ask: 'How will we know if this KPI has been achieved?' If it cannot be measured, it cannot be a KPI.
A — Achievable	The KPI must be realistic given the employee's role, resources, and the time available. Stretch goals are encouraged, but impossible targets demoralize rather than motivate.
R — Relevant	The KPI must be directly relevant to the employee's role, their team's objectives, and the organization's strategic priorities. KPIs that don't connect to broader business outcomes waste effort.
T — Time-Bound	Every KPI must have a clear deadline — either a specific date or a defined review period. 'Ongoing' is not a deadline.

4.3 Types of KPIs

Employees may have different types of KPIs depending on their role and level:

KPI Type	Description	Examples
Quantitative / Output KPIs	Numerical targets tied to measurable outputs or results.	Revenue generated, calls made, bugs resolved, articles published, units produced, cost saved
Qualitative / Competency KPIs	Behavioural and skill-based outcomes assessed through observation, 360 feedback, or structured assessment.	Communication effectiveness, leadership quality, collaboration rating, client relationship management
Project / Milestone KPIs	Specific projects or initiatives with defined deliverables and deadlines.	Launch Product X by Q3, Complete System Migration by June 30, Deliver Training Programme to 100% of Team
Development KPIs	Learning and growth goals designed to build skills for future roles.	Complete MBA module, obtain AWS certification, lead at least 2 cross-functional projects
Team / Shared KPIs	Goals shared collectively by a team, measuring collective accountability.	Team sales target of \$2M, Department NPS of 50+, Zero critical security incidents in the year

4.4 KPI Weighting

Where an employee has multiple KPIs, each KPI must be assigned a weight that reflects its relative importance to overall performance. The weights for all KPIs must add up to 100%. KPI weights should reflect the strategic priorities of the role.

REAL-WORLD EXAMPLE

A Sales Manager has 5 KPIs: (1) Revenue target — 40%, (2) New client acquisition — 25%, (3) Team development and coaching — 15%, (4) CRM data quality — 10%, (5) Completion of leadership development programme — 10%. At year-end, if the employee achieves 100% on revenue but scores only 40% on team development (a known weakness), their weighted score reflects the importance of both outcomes rather than allowing revenue performance alone to mask a leadership gap.

4.5 KPI Setting Process and Timelines

- Step 1 (December — Prior Year): Senior leadership and department heads receive organizational strategic priorities for the coming year from the CEO and Executive team.
- Step 2 (First Week of January): Department heads cascade organizational priorities into team-level goals and KPIs for each team.
- Step 3 (First Two Weeks of January): Each manager meets with each direct report to jointly develop the employee's individual KPIs for the year. This is a collaborative conversation, not a top-down instruction.

9. Step 4 (By January 31): All KPIs must be finalized, mutually agreed upon, and submitted to HR via the HRIS. Both manager and employee digitally sign the KPI document.
10. Step 5 (Ongoing): KPIs are reviewed at mid-year check-in and updated if required. Material changes to KPIs must be documented and re-approved.

4.6 Disagreements on KPI Setting

Where an employee disagrees with the KPIs proposed by their manager, the following process applies:

- The employee must raise their concern in writing to their manager within 5 business days of the proposed KPI document.
- Manager and employee must attempt to resolve the disagreement through a structured discussion.
- If unresolved within 10 business days, the matter is escalated to the HR Business Partner, who will facilitate a mediated discussion.
- The HR Business Partner's determination on the final KPIs will be binding for the performance period.

5. The Self-Assessment Process

5.1 Why Self-Assessment Matters

The self-assessment is the employee's opportunity to present their own perspective on their performance before the manager completes their evaluation. It is not a formality — it is a core part of the performance review process and carries genuine weight in the final assessment. A well-written self-assessment can influence a manager's perception, surface achievements that might otherwise be overlooked, and demonstrate self-awareness and growth mindset.

5.2 Self-Assessment Structure

The self-assessment must be completed in the HRIS by the 15th of November each year. It should address the following areas:

Self-Assessment Sections	
	• Goal Achievement Summary: For each KPI set at the beginning of the year, provide a self-rating (Achieved / Partially Achieved / Not Achieved) with supporting evidence and context.
	• Key Contributions and Highlights: Describe 3-5 significant contributions, projects, or achievements during the year that you believe demonstrate your value to the team and organization. Include measurable impact where possible.
	• Challenges and Learnings: Describe any significant challenges you faced during the year and what you learned from them. This section demonstrates self-awareness and growth.
	• Competency Demonstration: Reflect on how you demonstrated the organization's core competencies (e.g., collaboration, innovation, customer focus, integrity) during the year, with specific examples.
	• Development and Growth: Describe any skills acquired, training completed, or professional development undertaken during the year.
	• Areas for Improvement: Honestly identify one or two areas where you believe you could have performed better, and what you plan to do differently next year.
	• Career Aspirations: Share your career goals for the next 12-24 months and any support you are seeking from the organization to achieve them.

REAL-WORLD EXAMPLE	<i>An employee had a target of completing a data migration project by Q3. Due to vendor delays outside their control, the project completed in Q4. In their self-assessment, they documented the vendor delays with email evidence, highlighted their proactive communication with stakeholders throughout the delay, and noted the positive feedback received from the business owner on delivery quality. As a result, their manager rated the KPI as 'Met' rather than 'Partially Met' — evidence and context matter.</i>
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6. 360-Degree Feedback

6.1 What Is 360-Degree Feedback?

360-degree feedback is a structured mechanism through which an employee receives performance input from multiple perspectives: their manager (downward feedback), their peers (lateral feedback), and where applicable, their direct reports (upward feedback). It provides a more complete picture of an employee's performance and competencies than a single manager view.

360 feedback is mandatory for all employees at Manager level (Grade 5+) and above. For employees below Manager level, 360 feedback is used selectively at the HR Business Partner's discretion, particularly for employees being considered for promotion.

6.2 The 360 Feedback Process

11. **Nomination of Reviewers:** Each employee nominates between 4-8 reviewers from the following categories: at least 2 peers from within the team, at least 1 internal stakeholder from another department, all direct reports (if applicable). The manager approves the final list and may add additional reviewers.
12. **Survey Completion:** Selected reviewers complete a structured, anonymous online survey via the HRIS within a 2-week window. The survey covers core competencies, working style, collaboration, communication, and leadership (where relevant).
13. **Confidentiality:** All peer and upward feedback responses are anonymized. Employees will NOT see who said what. Where fewer than 3 people respond in a category, responses are withheld to protect anonymity.
14. **Compilation and Reporting:** HR compiles the 360 feedback report. Managers receive the report 1 week before the year-end review meeting so they can incorporate it into their assessment.
15. **Debrief:** The 360 feedback report is shared with the employee by their manager during the year-end review, with coaching guidance on interpreting and acting on the feedback.

6.3 Using 360 Feedback Responsibly

360 feedback is a developmental tool, not a weapon. The following principles govern its use:

- 360 feedback should inform — not determine — the overall performance rating. A manager should use it as one input among many.
- Employees must not attempt to identify who gave specific feedback, manipulate reviewers, or retaliate against those who gave critical feedback.
- Reviewers must provide honest, specific, and professional feedback. Vague responses such as 'does a good job' provide no developmental value. Malicious or personally attacking responses will be disregarded.

7. The Year-End Performance Review Meeting

7.1 Purpose of the Review Meeting

The year-end performance review meeting is the formal culmination of the annual performance cycle. It is a structured, private conversation between the employee and their direct manager during which the performance rating is communicated, key feedback is shared, and the foundation for the next year's goals and development is established.

This meeting must be conducted in person (or via video call for remote employees) and must be given adequate time — typically 60 to 90 minutes. Conducting a year-end review via email, instant message, or in a group setting is not acceptable.

7.2 Structure of the Year-End Review Meeting

Meeting Phase	Content and Guidance
Opening (5-10 mins)	Manager sets a positive, open tone. Acknowledges the employee's effort and contributions over the year. Confirms the structure and purpose of the meeting.
Employee Self-Reflection (10-15 mins)	Employee shares their highlights and reflections from their self-assessment. Manager listens actively before sharing their own perspective.
Goal and KPI Review (20-25 mins)	Manager reviews each KPI with the employee. Discusses achievements, shortfalls, and context. Provides specific examples and evidence for each assessment.
Competency and Behavioural Feedback (10-15 mins)	Manager shares feedback on how the employee has demonstrated (or not demonstrated) core competencies. 360 feedback results are shared and discussed.
Overall Rating Communication (5 mins)	Manager communicates the final overall performance rating clearly. Explains the rationale. Allows the employee to ask questions.
Development and Next Steps (10-15 mins)	Manager and employee discuss development goals for the coming year, any training needs, and career aspirations. An initial development plan is sketched out.
Closing (5 mins)	Manager thanks the employee. Confirms the timeline for any follow-up actions (promotion decision, salary review, development plan finalization).

7.3 Employee Rights During the Review

- Every employee has the right to receive their year-end review within the designated review period. If a manager fails to conduct the review, the employee should escalate to HR.

- Employees may request that an HR Business Partner observe the review meeting in cases where they have concerns about objectivity or fairness.
- If an employee disagrees with any element of their assessment, they must be given the opportunity to voice that disagreement during the meeting. It will be recorded.
- Employees have the right to raise a formal appeal if they believe their rating was unfair or influenced by bias. See Section 10 (Performance Appeals Process).

8. Performance Improvement Plan (PIP)

8.1 Purpose of a PIP

A Performance Improvement Plan (PIP) is a formal, structured support document initiated when an employee receives a year-end rating of 1 (Does Not Meet Expectations) or, in exceptional circumstances mid-year, when performance has deteriorated to a level that requires urgent intervention. A PIP is not a punishment — it is a structured attempt to help an employee succeed.

The organization's philosophy is that a PIP should be the final structured effort to help an employee reach the required performance standard before considering more serious action. Managers are expected to have attempted informal coaching and support before resorting to a formal PIP.

8.2 PIP Initiation Process

16. Step 1 — HR Consultation: Before a PIP is issued, the manager must consult with the HR Business Partner. HR will review whether previous coaching and support was adequate and whether the PIP is appropriate.
17. Step 2 — PIP Document Preparation: HR, in collaboration with the manager, prepares the PIP document. The PIP must include: specific areas of underperformance with documented evidence, clear, measurable improvement targets, a timeline (typically 30, 60, or 90 days), the support and resources the organization will provide, and the consequences if the PIP targets are not met.
18. Step 3 — PIP Meeting: The manager formally presents the PIP to the employee in a private meeting with an HR representative present. The employee is given the opportunity to respond and ask questions.
19. Step 4 — Employee Acknowledgement: The employee signs the PIP to acknowledge receipt. Signing does not indicate agreement with the assessment — it indicates receipt. If the employee refuses to sign, HR witnesses the presentation and records the refusal.
20. Step 5 — Weekly Check-Ins: During the PIP period, the manager must conduct structured weekly check-in meetings with the employee to review progress, provide coaching, and document outcomes.
21. Step 6 — PIP Review Meeting: At the end of the PIP period, a formal review meeting is held. The manager documents whether improvement targets were met, partially met, or not met.

8.3 PIP Outcomes

PIP Outcome	Next Steps
Targets Fully Met	PIP formally closed. Employee returns to standard performance management cycle. Positive notation added to employee record. No further action.

PIP Outcome	Next Steps
Targets Partially Met	At HR and management discretion, a PIP extension of up to 30 additional days may be granted. Alternatively, other role adjustments may be considered.
Targets Not Met	HR initiates a formal disciplinary process, which may lead to demotion, role change, or termination, in accordance with the organization's Disciplinary Policy.

REAL-WORLD EXAMPLE	<i>A customer support team leader consistently received escalation complaints from clients and failed to meet response time KPIs for two consecutive quarters. After informal coaching proved ineffective, HR initiated a 60-day PIP with targets including: 95% first-contact resolution rate, zero unresolved escalations over 48 hours, and completion of a customer service excellence training module. By week 6, the employee had achieved all targets and the PIP was closed with commendation. The employee went on to receive a 3 rating at year-end and was retained.</i>
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9. Promotion Policy

9.1 Types of Career Progression

The organization recognizes several distinct types of career progression, each with its own criteria and process:

Progression Type	Description
Vertical Promotion	Advancement to a higher grade/level within the same career track (e.g., Analyst to Senior Analyst, Manager to Senior Manager). Involves increased responsibility, authority, and compensation.
Functional Promotion	Movement into a new role or specialization that represents a career step up, often involving a change in department or function.
Merit Increment (Within Grade)	A salary increment within the same grade in recognition of strong performance, without a change in title or level.
Internal Transfer / Lateral Move	Movement to a different role at the same level, often for development purposes. Not a promotion but facilitates growth.
Fast-Track Promotion	Accelerated promotion for employees on the High Potential (HiPo) programme who demonstrate exceptional performance and readiness ahead of the standard timeline.

9.2 Eligibility Criteria for Promotion

Promotion decisions are based on a holistic assessment of the following criteria. No single criterion determines a promotion — all must be considered together:

Core Promotion Eligibility Criteria
Performance Rating: Employee must have received a minimum rating of 4 (Exceeds Expectations) in the most recent annual review, OR a rating of 3 (Meets Expectations) for two consecutive years with demonstrably increasing contribution.
Minimum Time in Current Grade: Employees are typically expected to have spent at least 18-24 months in their current grade before being eligible for promotion. Exceptions may be made for exceptional performers on the HiPo programme.
Competency Readiness: Employee must demonstrate the competencies required for the next level, not just the current level. Promotion is based on readiness for the next role, not just reward for the current one.
Organizational Need: A promotion must be linked to a business need. An employee cannot be promoted to a role that does not exist or is not funded. The position must be approved by Finance and HR.

- **Manager Endorsement:** The direct manager must formally endorse the promotion with a written justification. This is a non-negotiable requirement.
- **No Active Disciplinary Record:** Employees with an active written warning (within the last 12 months) are not eligible for promotion during the period the warning is active.
- **No Active PIP:** Employees currently on a Performance Improvement Plan are not eligible for promotion until the PIP is successfully closed.

9.3 The Promotion Decision Process

22. **Step 1 — Manager Nomination (October-November):** Managers identify employees they wish to nominate for promotion and submit a formal Promotion Nomination Form via HRIS. This must include the nominee's performance history, the specific promotion being requested, and a written business case.
23. **Step 2 — HR Eligibility Review (November):** HR reviews all nominations against the eligibility criteria. Ineligible nominations are returned to managers with a written explanation.
24. **Step 3 — Promotion Review Committee (December):** A Promotion Review Committee comprising department heads, HR leadership, and in some cases, the CEO reviews all eligible nominations. The committee may request interviews, presentations, or additional information from nominees.
25. **Step 4 — Final Approval (December — last 2 weeks):** Approved promotions are finalized. Finance confirms the compensation impact. CEO or functional head approves all Grade 6+ promotions.
26. **Step 5 — Communication to Employee (January):** The manager communicates the promotion outcome to the employee in a private meeting before any public announcement. For employees not promoted, the manager provides a detailed explanation and development plan.
27. **Step 6 — Announcement and Implementation (January):** Promotions are formally announced, updated in HRIS, and the new salary and title take effect from the 1st of January.

9.4 What Happens When You Are Not Promoted

Being passed over for promotion can be disappointing. The organization is committed to handling these conversations with honesty and respect. When an employee is not promoted, the following will occur:

- The manager will schedule a dedicated conversation (not during the year-end review meeting) to explain the decision.
- The employee will receive specific, honest feedback on what factors influenced the decision — whether that was performance, tenure, competency gaps, or lack of organizational need.
- The employee will be given a clear, written development plan outlining what they need to achieve to be considered for promotion in the next cycle.
- The employee can request a second conversation with the HR Business Partner to discuss the decision further.

REAL-WORLD EXAMPLE	<i>An experienced team member applied for a Senior Manager role. She had strong technical skills and consistently met KPIs (rating of 3 for two years). She was not promoted because the review committee felt she had not yet demonstrated the strategic leadership and cross-functional influence required at the Senior Manager level. Her manager and HR met with her to share detailed, specific feedback and co-created a 12-month development plan including: leading a cross-functional strategic project, presenting at a board meeting, and obtaining a leadership certification. One year later, she was promoted.</i>
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10. Compensation Adjustments and Salary Reviews

10.1 Annual Salary Review

The organization conducts an annual salary review effective 1st January each year, concurrent with the conclusion of the performance cycle. Salary adjustments are based on three factors: individual performance rating, position within the salary band for the grade, and the organization's overall salary budget for the year.

The following salary increment guidelines apply (subject to annual budget approval):

Performance Rating	Typical Increment Range	Additional Eligibility
5 — Outstanding	8% - 15% salary increment	Eligible for spot bonus or discretionary bonus. Fast-track promotion consideration.
4 — Exceeds Expectations	5% - 8% salary increment	Eligible for standard promotion cycle. May qualify for a performance bonus if applicable.
3 — Meets Expectations	2% - 5% salary increment	No promotion in current cycle unless other criteria met. Development plan for growth.
2 — Partially Meets Expectations	0% - 2% salary increment	No promotion. Active development plan. Close monitoring.
1 — Does Not Meet Expectations	0% salary increment	No promotion. Mandatory PIP. No bonus eligibility.

Note: The above ranges are guidelines. Actual increments depend on the annual budget approved by the board, current position within the salary band, market benchmarking data, and internal pay equity considerations.

10.2 Salary Bands and Grade Structure

The organization maintains a defined salary band for each job grade. The band has a minimum, midpoint, and maximum. New hires typically enter between the minimum and midpoint. Employees who reach the maximum of their band cannot receive further salary increments within that grade — they must be promoted to the next grade to achieve further increases. HR conducts a salary band review annually to ensure competitiveness with market benchmarks.

10.3 Off-Cycle Salary Adjustments

In exceptional circumstances, salary adjustments may be made outside the annual review cycle. These off-cycle adjustments require approval from the employee's department head, HR, and the Finance team. Examples of situations that may trigger an off-cycle adjustment include:

- Internal promotion to a new grade where the new salary must reflect the responsibilities of the new role
- Counter-offer situations where a valued employee has received a competing offer and retention is deemed critical
- Pay equity correction identified through an audit
- Significant role expansion without a formal grade change

11. High Potential (HiPo) Programme

11.1 Programme Overview

The High Potential Programme is the organization's structured investment in its future leaders. Employees identified as 'High Potential' are those who have demonstrated not only exceptional current performance, but the learning agility, leadership aptitude, and ambition to take on significantly greater responsibility within the next 3-5 years.

Being on the HiPo programme does not guarantee promotion, but it significantly accelerates development opportunities, increases visibility with senior leadership, and opens doors to stretch assignments and fast-track progression. Approximately 10-15% of the total workforce is designated as High Potential at any given time.

11.2 HiPo Identification Criteria

Employees are assessed for HiPo status using a 9-Box Grid that plots Performance (vertical axis: Low / Medium / High) against Potential (horizontal axis: Low / Medium / High). Employees in the top-right quadrant of the 9-box (High Performance + High Potential) are designated HiPo.

Potential is assessed across three dimensions:

- **Aspiration:** Does the employee genuinely want to take on greater responsibility? Do they have the drive and ambition to lead at higher levels?
- **Ability:** Does the employee demonstrate the cognitive capacity, learning agility, and skill set to succeed in more complex roles?
- **Engagement:** Is the employee committed to the organization and its mission? Are they a culture carrier and role model?

11.3 HiPo Programme Benefits

HiPo Programme Benefits
• Individual Development Plans (IDPs) with dedicated HR Business Partner support
• Mentoring from a senior leader (Vice President level or above)
• Access to external leadership development programmes and executive education (organization-funded)
• Stretch assignments: opportunities to lead cross-functional projects, task forces, or special initiatives
• Accelerated promotion timeline — eligible after 12 months in grade (vs. standard 18-24 months)

• Regular exposure to executive leadership through quarterly HiPo forums
• Priority consideration for international assignments, job rotations, and secondments
• Access to the HiPo Peer Learning Network for cross-departmental learning

12. Performance Appeals Process

12.1 Right to Appeal

Every employee has the right to formally appeal their performance rating or a promotion decision they believe was unfair, biased, or made without due process. The appeals process is designed to provide a meaningful, independent review of decisions — not simply to ratify what the manager already decided.

12.2 Grounds for Appeal

A valid appeal must be based on at least one of the following grounds:

- **Procedural Error:** The performance review process was not followed correctly (e.g., no mid-year check-in was held, self-assessment was not considered, KPIs were not agreed upon at the beginning of the year).
- **Bias or Discrimination:** The employee has evidence or reasonable grounds to believe the rating or decision was influenced by personal bias, prejudice, or a protected characteristic (gender, race, age, religion, disability, etc.).
- **Factual Inaccuracy:** The rating or decision was based on factually incorrect information that, if corrected, would materially change the outcome.
- **Inconsistency:** The employee was treated differently from comparable peers without objective justification.

12.3 Appeals Process

28. **Step 1 — Notice of Appeal:** The employee must submit a written Notice of Appeal to the HR department within 10 business days of receiving their performance rating or promotion decision. The notice must state the grounds for appeal and include supporting evidence.
29. **Step 2 — Appeal Panel Convened:** HR convenes a three-person Appeal Panel comprising an HR Director, a senior manager who was not involved in the original assessment, and (where appropriate) an independent third party.
30. **Step 3 — Evidence Review:** The Panel reviews the original assessment documentation, the employee's evidence, and any relevant communications. The Panel may interview the employee, the manager, and other relevant parties.
31. **Step 4 — Appeal Hearing:** The employee presents their case to the Panel. The original manager may also present their rationale. Both parties have the opportunity to ask questions.
32. **Step 5 — Panel Decision:** The Panel issues a written decision within 15 business days of the hearing. The decision may uphold the original rating/decision, partially uphold the appeal (adjust the rating), or fully uphold the appeal (overturn the decision).
33. **Step 6 — Final Decision:** The Panel's decision is final within the internal process. Employees who remain dissatisfied may pursue external remedies through applicable labour law mechanisms.

13. Development Planning and Career Conversations

13.1 Individual Development Plans (IDPs)

Every employee — regardless of performance rating — must have an Individual Development Plan (IDP) agreed upon with their manager at or shortly after the year-end review. The IDP is a living document that articulates the employee's development goals, planned activities, and timeline for the next 12 months.

A well-constructed IDP addresses three development horizons:

- Strengthening current role performance: What skills or behaviours, if improved, would make the employee significantly more effective in their current role?
- Building readiness for the next level: What competencies and experiences does the employee need to develop to be eligible and ready for promotion?
- Breadth and cross-functional learning: What exposure to other parts of the business would broaden the employee's perspective and increase their organisational impact?

13.2 Development Activities

Development activities in the IDP should follow the 70-20-10 learning principle:

Learning Type	Proportion	Examples
On-the-Job Experiential Learning	70%	Stretch assignments, leading new projects, taking on additional responsibilities, job shadowing, cross-functional rotations
Social and Relational Learning	20%	Mentoring (being mentored), coaching sessions, peer learning groups, feedback conversations, networking events
Formal Training and Education	10%	External courses, certifications, e-learning modules, workshops, conferences, MBA/postgraduate programmes

13.3 Career Conversations

Beyond the formal performance cycle, employees deserve regular, honest conversations about their career aspirations and how the organization can support them. Managers are expected to have at least one dedicated career conversation per year (separate from performance reviews) where the focus is entirely on the employee's long-term development and professional goals.

REAL-WORLD EXAMPLE

A junior data analyst told her manager she aspired to eventually lead a data science team. Her IDP included: completing a Python machine learning

certification (formal), joining a cross-functional AI project team as the data representative (experiential), and monthly mentoring sessions with the Head of Data Science (relational). Over two years, she became the go-to person for ML-related queries, was promoted to Senior Data Analyst, and was short-listed for a Team Lead role. Career conversations and structured development are the most effective retention tools available.

14. Special Performance Situations

14.1 Employees Who Join Mid-Year

Employees who join the organization between January and September of a given year will receive a pro-rated performance assessment at year-end, covering the period from their start date to December 31. KPIs are set within 30 days of joining and must be achievable within the available time. Employees who join after September 30 will not receive a formal year-end rating for that year but will have an onboarding review and will be included in the full performance cycle beginning the following January.

14.2 Employees Returning from Extended Leave

Employees returning from extended leave (maternity/paternity leave, medical leave, sabbatical of 3+ months) will have their performance assessment adjusted to reflect the time they were actively in role. KPIs will be reviewed and adjusted proportionally. Returning employees will not be disadvantaged in their rating relative to peers who were in the office full-year if the leave was properly approved and planned.

14.3 Employees in Multiple Roles or Shared Roles

Employees who work across multiple teams or under multiple managers during the performance year will receive a consolidated assessment jointly prepared by all relevant managers. HR will facilitate the process to ensure all perspectives are captured and fairly weighted based on the proportion of time spent in each role.

14.4 Employees on Long-Term Sick Leave During Appraisal Period

Employees who are on approved sick leave during the scheduled appraisal period will have their review deferred until they return to work. The review will cover the period they were actively in role during the year. The organization will not use extended illness as grounds for a negative performance rating.

15. Policy Governance, Review, and Employee Acknowledgement

15.1 Policy Ownership

This policy is owned by the Human Resources Department and is approved by the Chief Human Resources Officer (CHRO) and CEO. The HR Business Partner team is responsible for the day-to-day administration and communication of this policy across all departments.

15.2 Manager Responsibilities

Manager Responsibilities Under This Policy
• Conduct all performance management activities within the timelines specified in this policy
• Set SMART, agreed, and fairly weighted KPIs with each direct report by January 31 each year
• Hold monthly 1:1 meetings and formal mid-year check-in meetings with every direct report
• Complete objective, evidence-based performance assessments free from personal bias
• Communicate performance ratings and feedback clearly, respectfully, and in private
• Initiate Individual Development Plans for all direct reports following year-end reviews
• Nominate eligible employees for promotion with a documented business case
• Consult HR before initiating a formal Performance Improvement Plan
• Treat all performance-related information as strictly confidential
• Participate in HR-facilitated calibration sessions and accept calibration outcomes

15.3 Employee Responsibilities

Employee Responsibilities Under This Policy
• Engage constructively and honestly in all stages of the performance management cycle
• Complete the self-assessment by the November 15 deadline each year
• Actively work toward agreed KPIs and raise issues or obstacles with the manager promptly
• Participate in mid-year check-ins and year-end review meetings professionally
• Raise any concerns about fairness or process through the appropriate channels

- Take ownership of their Individual Development Plan and pursue agreed development activities
- Treat feedback — positive and critical — as valuable information for growth
- Maintain confidentiality about other employees' performance ratings or outcomes

15.4 Version History

Version	Date	Summary of Changes
1.0	January 1, 2025	Initial policy release. Full performance cycle, KPI framework, 360 feedback, promotion criteria, HiPo programme, and appeals process.
Next Review	January 1, 2026	Scheduled annual review. Lessons from first year of implementation, calibration outcomes, and employee feedback to be incorporated.

15.5 Employee Acknowledgement

All employees must read, understand, and formally acknowledge this policy within 10 business days of receiving it. Acknowledgement is completed through the HRIS. For employees already in role at the time of first release, acknowledgement must be completed by January 31, 2025.

Employee Name:	_____
Job Title / Department:	_____
Signature:	_____
Date of Acknowledgement:	_____

— End of Performance & Promotion Policy —
For queries, contact: hr@company.com | HR Helpdesk: ext. 5000